GLOBAL SCREENING · SANCTIONS CONTROLS

Stopping sanctioned banks at the point of payment

How our BIN blocking control works, from designation to declined payment



We block sanctioned banks ourselves, inside our own payment flow

WHY WE DO IT

We have no direct relationship with the issuing bank



The check runs here
after the issuer BIN is extracted, before anything reaches the scheme

WHAT WE ARE EXPOSED TO

Payments from sanctioned issuers

Real-time, high-volume card traffic from any bank under sanctions

Payouts to sanctioned issuers

Card payouts and refunds that would credit a card issued by a sanctioned bank

Routing we don't control

Acquirers and intermediaries that may sit in sanctioned regions

Source: Blocking framework §3, §6.1, §7.2

The block list is updated weekly, with an emergency route for major designations

1 Identify

- A bank is designated under EU, UK (OFSI) or US (OFAC) sanctions
- Sanctioned banks found in LexisNexis lists, including by ownership and control

2 Map

- Classified as a global hard stop or a regional / sectoral block
- 6- and 8-digit BIN ranges generated via BINDB

3 Validate & approve

- Manual check so legitimate banks are not blocked
- Sanctions Team (2LOD) gives the final approval

4 Deploy & verify

- Controlled upload to fraud and payout systems
- Post-deployment check that the block is live

Output: Sanctioned BIN List

Every week the full cycle runs again, and the Register is reconciled fortnightly against industry lists

Emergency route for a major designation

Expedited approval, and a temporary block goes in before full BIN regeneration. Documentation and validation are completed afterwards.

2 hours
to update the Register after a major designation

Source: Blocking framework §6.2, §7.3, §7.4, §8.2, §9.1, §9.3, §10.1, §10.4

Every card payment and payout is checked before it reaches the scheme

Issuer BIN extracted → **Sanctions check** → Authorisation request to scheme → Clearing & settlement

PAYMENT TYPE	WHAT IS CHECKED, AND WHERE	OUTCOME
Card acquiring Processing-In: merchant card payments	**Issuer BIN vs the Sanctioned BIN List** Fraud Detection solution, before authorisation	Match? → ✕ **Declined automatically** Match? → ✓ **Standard authorisation**
Payout to card Processing-Out: including refunds where the BIN is available	**Card BIN vs the Sanctioned BIN List** Payout validation layer, before settlement	Match? → ✕ **Declined automatically** Match? → ✓ **Standard settlement**

On every match a Sanctions_Block_Event is logged and retained, and escalated per Compliance procedures where required

Source: Blocking framework §4, §7.2 (minimum requirements), §7.3.1, §8.1

Every step has an owner, and people make the decisions

1LOD

Payments & Engineering

Build and run the controls

- Fraud Detection: real-time BIN checks for acquiring
- FinCrime Engineering: payout validation layer, event logging, no bypass
- FinCrime Product: control design, aligned to regulatory requirements

2LOD

Sanctions Team

Own the list and approve changes

- Owns the Sanctions Hard Block Register
- Sets the global vs regional block taxonomy
- Sole approver for adding or whitelisting BINs, and shared-BIN exceptions

3LOD

Internal Audit

Independent assurance

- Tests the design and operating effectiveness of real-time BIN blocking

Weekly

The full BIN list update cycle

2 hours

To update the Register after a major designation

1 hour

To report any payment that did not follow the workflow

Source: Blocking framework §8.1, §8.2, §8.3, §9.1, §11

Four things that make BIN blocking harder than it looks

Names don't match across datasets

The same bank is written differently in sanctions lists and BIN databases: abbreviations, transliterations, legal forms. Matching on unique identifiers such as the LEI is the long-term fix.

BINs aren't banks

One bank spans many 6- and 8-digit ranges, and some BINs are shared across territories. Too broad and you block legitimate banks; too narrow and you miss one.

Lists move faster than BIN data

There is a lag between a designation and BIN databases or scheme data catching up. The emergency route exists to cover that window.

Ownership isn't on the list

A bank can be sanctioned through ownership or control without being named. Finding it takes an ownership assessment, not just a list lookup.

Source: Blocking framework §3, §6.3, §7.4, §8.2, §10.4

Three things to take away

01

We block it ourselves

The check sits inside our payment flow, before the scheme sees the payment. Partners don't carry our liability.

02

The list is kept current

Weekly updates, a 2-hour Register update for major designations, and fortnightly reconciliation against industry lists.

03

People make the decisions

The Sanctions Team approves every change to the list, including shared-BIN exceptions.

Source: Blocking framework §6.1, §7.2, §8.2, §9.1, §10.4

Questions

Global Screening · Checkout.com



GLOBAL SCREENING · SANCTIONS CONTROLS

How sanctioned banks are blocked at the point of payment

A preventive, real-time BIN control: card payments and payouts involving a sanctioned issuer are stopped before authorisation, clearing or settlement.

System or process step · Human decision

1 Keep the Sanctioned BIN List current

Weekly update cycle · Emergency Register update within 2 hours

Emergency route: expedited approval, temporary block before full BIN regeneration

01 Designation — Bank listed under EU, UK (OFSI) or US (OFAC) sanctions

02 Identify — LexisNexis lists, wildcard searches, ownership & control

03 Classify — Global hard stop or regional / sectoral block

04 Map BINs — 6- and 8-digit BIN ranges generated via BINDB

05 Validate — Manual check so legitimate banks are not blocked

06 Approve — Sanctions Team (2LOD) is sole final approver

07 Deploy — Controlled upload to fraud and payout systems

08 Verify — Post-deployment check that the block is live

Repeats weekly · Register reconciled fortnightly against industry lists

2 Check every payment in real time

Sanctioned BIN List

WHERE THE CHECK SITS IN THE PAYMENT: Issuer BIN extracted → **Sanctions check** → Authorisation request to scheme → Clearing & settlement

Payment initiated — card payment or payout

Extract issuer BIN — Issuer BIN and routing data taken from the payload

PROCESSING-IN
Card acquiring — Merchant card payments

Issuer BIN vs Sanctioned BIN List — Fraud Detection solution

Match?
- Yes → Auto-declined
- No → Standard authorisation

PROCESSING-OUT
Payout to card — Card payouts, incl. refunds

Card BIN vs Sanctioned BIN List — Payout validation layer

Match?
- Yes → Auto-declined
- No → Standard settlement

ON EVERY MATCH

1. Sanctions block event logged and retained
2. Escalated per Compliance procedures where required

1LOD · PAYMENTS & ENGINEERING

Fraud Detection: acquiring BIN checks
FinCrime Engineering: payout checks, no bypass
FinCrime Product: control design and alignment

2LOD · SANCTIONS TEAM

Owns the Sanctions Hard Block Register and global vs regional taxonomy. Sole approver for adding or whitelisting BINs and shared-BIN exceptions

3LOD · INTERNAL AUDIT

Independent testing of the design and operating effectiveness of real-time BIN blocking

INCIDENT HANDLING

Any payment that did not follow the blocking workflow is reported to the Sanctions Team within 1 hour of being identified

Source: Checkout.com sanctioned bank blocking framework, BIN controls: §4, §6 to §11.

Draft for Compliance sign-off before external use